Basic Auto Policy

Form POL-BASIC | Version 2026.1

Declarations

Policy form	POL-BASIC
Policy period	February 1, 2026 to January 31, 2027
Collision limit	$25,000
Deductible	$2,000
Notice of loss	14 days
Claims referred above	$15,000

This is a synthetic policy created for software evaluation. It is not an offer of insurance.

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Section 1. Definitions

BASIC-1.1 Policy Period

This policy applies only to loss that occurs on or after February 1, 2026 and on or before January 31, 2027 (the policy period). Loss that occurs before the policy period begins or after it ends is not covered, regardless of when the loss is reported to us.

BASIC-1.2 Named Insured

Named insured means the person or persons shown as such in the declarations. The named insured is the only person who may change, cancel or assign this policy, and is responsible for the accuracy of the information given to us when applying for it.

BASIC-1.3 Covered Vehicle

Covered vehicle means the private passenger auto described in the declarations, including its permanently attached equipment, and any replacement vehicle that we have agreed in writing to insure.

BASIC-1.4 Insured Person

Insured person means the named insured, resident family members, and any other person who uses the covered vehicle with the named insured's permission and within the scope of that permission.

BASIC-1.5 Actual Cash Value

Actual cash value means the replacement cost of the covered vehicle or part, less a deduction for physical depreciation and prior condition, as determined by us from market data for comparable vehicles in the area where the loss occurred.

BASIC-1.6 Collision

Collision means the upset of the covered vehicle or its impact with another vehicle or object. Loss caused by fire, theft, flood or vandalism is not a collision.

Section 2. Insuring Agreement

BASIC-2.1 Collision Coverage

Subject to the limit, the deductible and the exclusions in this policy, we will pay for direct and accidental loss to the covered vehicle caused by collision during the policy period. We will pay the reasonable cost to repair the vehicle to its pre-loss condition, or its actual cash value if the vehicle is a total loss, whichever is less.

BASIC-2.2 Coverage Territory

This coverage applies to loss that occurs within the United States, its territories and possessions, and Canada, and to loss during transit between those places.

BASIC-2.3 Replacement Parts

We may specify the use of new, used, reconditioned or non-original-equipment parts when they are of like kind and quality. Where an original-equipment part is required by law, we will pay for it.

Section 3. Limit of Coverage and Deductible

BASIC-3.1 Collision Limit

The most we will pay for any one collision loss is $25,000, or the actual cash value of the covered vehicle at the time of loss, whichever is less. The limit does not increase because more than one vehicle, person or claim is involved.

BASIC-3.2 Deductible

Our payment for each collision loss is reduced by the deductible of $2,000. The deductible applies once per loss, after the amount of loss has been determined and before the limit is applied.

BASIC-3.3 Total Loss Settlement

If the cost to repair the covered vehicle exceeds its actual cash value, or if repair is not practical, we may treat the loss as a total loss and pay actual cash value less the deductible, in which case ownership of the salvage passes to us.

BASIC-3.4 Salvage

If we pay for a total loss, we are entitled to the salvage. The insured person must sign over title and must not dispose of the vehicle until we have inspected it.

BASIC-3.5 Other Insurance

If other insurance applies to the same loss, we will pay only our share of the loss. Our share is the proportion that our limit bears to the total of all applicable limits.

Section 4. Exclusions

BASIC-4.1 Application of Exclusions

The exclusions in this section apply to every claim under this policy. If an exclusion applies to a loss, we will not pay any part of that loss, even if another cause also contributed to it. An insured person who relies on an exception to an exclusion has the burden of showing that the exception applies.

BASIC-4.2 Racing and Speed Contests

We do not cover loss that occurs while the covered vehicle is used in, or in practice or preparation for, any organized or impromptu race, speed contest, stunt driving or demonstration, whether on a public road or on a closed course. Informal contests of speed

between drivers on public roads are included in this exclusion.

BASIC-4.3 Intentional Acts

We do not cover loss caused intentionally by, or at the direction of, an insured person. This exclusion applies even if the resulting damage is different from, or greater than, what the insured person expected or intended.

BASIC-4.4 Commercial and Rideshare Use

We do not cover loss that occurs while the covered vehicle is being used to carry persons or property for a fee, including rideshare, taxi, courier and paid delivery services, or is otherwise used in a business of delivering goods or passengers. Ordinary commuting to and from a regular place of work is not commercial use.

BASIC-4.5 Unlicensed or Suspended Driver

We do not cover loss that occurs while the covered vehicle is operated by any person who does not hold a valid driver's license, or whose license is suspended, revoked or expired on the date of loss, with the knowledge of the named insured.

BASIC-4.6 Impaired Driving

We do not cover loss that occurs while the driver of the covered vehicle is under the influence of alcohol, a controlled substance or any drug that impairs driving ability, including any case in which the driver's measured blood alcohol concentration exceeds the legal limit of the state where the loss occurred.

BASIC-4.7 Off-Road Use

We do not cover loss that occurs while the covered vehicle is being driven off a maintained public or private road, including on trails, fields, beaches, dunes or other unimproved terrain.

BASIC-4.8 Aftermarket Modifications

We do not cover loss to, or loss caused by, non-factory modifications to the covered vehicle that change its performance, including engine, turbo, exhaust and suspension modifications, unless the modification was declared to us and endorsed on this policy.

Section 5. Duties After a Loss

BASIC-5.1 Notice of Loss

The insured person must notify us of a collision loss within 14 days after the date of loss. If notice is given later than that, we may deny the claim unless the insured person shows that the delay was caused by a documented medical emergency or other circumstance beyond their control.

BASIC-5.2 Police Report

When a collision involves injury, a second vehicle or damage over $2,500, the insured person should report it to the police and give us the report number as soon as it is available. Failure to obtain a report does not by itself void coverage.

BASIC-5.3 Documentation

The insured person must send us a completed claim form, a repair estimate from a licensed repair facility, and a written description of how the loss happened, including the date, time and place of the loss.

BASIC-5.4 Inspection

We may inspect the covered vehicle and the repair facility's records at any reasonable time before repairs are made. The insured person must not authorize repairs beyond those needed to protect the vehicle from further damage until we have inspected it.

BASIC-5.5 Cooperation

The insured person must cooperate with us in the investigation and settlement of the claim, including answering questions under oath if we ask and providing records that we reasonably request.

BASIC-5.6 Proof of Loss

We may require a sworn proof of loss within 60 days of our request. The proof of loss must state the time, place and cause of the loss, the interest of all persons in the vehicle, and the amount claimed.

Section 6. Claim Handling

BASIC-6.1 Adjuster Authority and Referral of High-Value Claims

A claims adjuster may approve or deny a claim within the limit of this policy. Any claim where the amount of loss is at or above $15,000 must be escalated to a senior adjuster for review before any payment is authorized, even if no exclusion appears to apply.

BASIC-6.2 Referral of Unclear Coverage

If the documents submitted do not allow the adjuster to determine whether an exclusion applies, because material facts are disputed, missing or open to more than one reasonable reading, the claim must be escalated for further investigation rather than approved or denied on the information available.

BASIC-6.3 Payment

We will pay an approved claim within 30 days after we receive proof of loss and complete our investigation. Payment may be made to the insured person, the repair facility, or any lienholder named in the declarations.

BASIC-6.4 Appraisal

If the insured person and we disagree on the amount of loss, either may demand appraisal. Each party selects a competent appraiser, and the two appraisers select an umpire. A written agreement of any two is binding as to the amount of loss only.

BASIC-6.5 Subrogation

If we make a payment, we are entitled to recover it from any person who caused the loss. The insured person must do nothing to impair this right and must help us enforce it.

Section 7. Fraud and Misrepresentation

BASIC-7.1 Concealment or Fraud

We do not provide coverage to any insured person who has intentionally concealed or misrepresented a material fact, engaged in fraudulent conduct, or made false statements relating to this insurance, whether before or after a loss.

BASIC-7.2 Duplicate Claims

A claim for a loss that has already been reported to us, or paid, under this policy or any other policy, must be escalated to the special investigation unit. The same loss may be paid only once.

BASIC-7.3 Inflated or Unsupported Estimates

If the amount claimed is substantially higher than the usual cost of repairing the damage described, or is not supported by the itemized estimate, the claim must be escalated for review. We may base payment on the lower of the estimate and our own assessment of reasonable repair cost.

BASIC-7.4 Special Investigation

We may refer any claim to our special investigation unit. A referral is not a finding of wrongdoing and does not by itself delay payment of any undisputed portion of the claim.

Section 8. General Conditions

BASIC-8.1 Changes

This policy contains all the agreements between the named insured and us. Its terms may be changed only by an endorsement issued by us.

BASIC-8.2 Cancellation

The named insured may cancel this policy at any time by notifying us. We may cancel for non-payment of premium on ten days' notice, and for any other reason allowed by state law on thirty days' notice.

BASIC-8.3 Legal Action Against Us

No legal action may be brought against us until there has been full compliance with all the terms of this policy, and not later than two years after the date of loss.

BASIC-8.4 Governing Law

This policy is governed by the law of the state in which the named insured resides on the effective date of the policy.

BASIC-8.5 Premium

The premium is shown in the declarations. It is due on or before the effective date and on each installment date shown there. Failure to pay when due may result in cancellation.

BASIC-8.6 Assignment

The named insured's interest in this policy may not be assigned without our written consent. If the named insured dies, the policy covers the legal representative as the named insured while acting within the scope of their duties.

BASIC-8.7 Severability

If any provision of this policy is found to be invalid or unenforceable, the remaining provisions continue in full force and effect.

BASIC-8.8 Entire Agreement

The declarations, this policy form and any endorsements issued by us make up the entire contract between the named insured and us.